

The Importance of an IPS:

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An Investment Policy Statement (IPS) is a foundational document that describes the relationship between an investor and their portfolio. It is their finances, centered around their needs and wants. At its core, the IPS translates a client's life- their goals, income sources, obligations, time horizon, taxes, and emotional relationship with risk, into a written investment framework that can be referenced, measured against, and adapted over time. The CFA Institute identifies the IPS as the single most important document an investment professional produces for an individual client, because it states return objectives, risk tolerance, and constraints, before any capital is put in the plan (CFA Institute, *Elements of an Investment Policy Statement for Individual Investors*, 2010).

The IPS has three main purposes. First, it functions as a fiduciary and communication tool. By documenting the client's circumstances and the agreed-upon investment approach in writing, the IPS aligns expectations between advisor and client, reduces the risk of misunderstanding, and creates a record of why specific decisions were made. Communication is everything when handling money. For a household like the Taylor family- where two people have two different risk tolerances, The IPS is a reference point for the family and the advisor, and they can look at whenever they have questions in the future.

Secondly, the IPS provides discipline. Vanguard's research on advisors has consistently identified behavioral coaching as one of the largest sources of value an advisor delivers, often outweighing security selection or asset allocation refinements over the long term (Kinniry et al., Vanguard Research, 2022). Markets test investor resolve in predictable ways ei. 2008 and 2020 and the clients who lack a written framework are more likely to abandon their strategy at exactly the wrong moment. In fact, I know some friends who sell their stocks each time the stock goes down- they panic sell, just for the stock to go up the next day. The IPS counters this by pre-committing to an allocation, rebalancing policy, and risk parameters during a period of clarity, so that decisions during periods of stress are constrained by the document rather than driven by emotion.

Third, the IPS establishes a benchmark for evaluation. This is a way to grade your advisor and grade your portfolio. Without return objectives and risk parameters, there is nothing that can be measured. The IPS allows both client and advisor to ask, at any review meeting, whether the portfolio is on track to meet the stated goals within the stated risk tolerance- and if its not, that is a way to track how your portfolio is holding up compared to what was in writing.

Of all the elements, the risk tolerance and return objective sections are the most important. Asset allocation drives the majority of long-term portfolio outcomes, and asset allocation is directly determined by the interaction of required return and acceptable risk. If an IPS can document any one thing - it should be the client's ability and willingness to take risks.

References

- CFA Institute. (2010). *Elements of an Investment Policy Statement for Individual Investors*. CFA Institute Research Foundation.
- Kinniry, F. M., Jaconetti, C. M., DiJoseph, M. A., Zilbering, Y., & Bennyhoff, D. G. (2022). *Putting a Value on Your Value: Quantifying Vanguard Advisor's Alpha*. Vanguard Research.

Time Horizon Analysis:

Mark is already retired, while Lisa continues to teach part time for about three more years before fully retiring. So I should divide the next couple of years into segments:

Segment One, Years 1-3:

Both spouses are semi retired, Lisa is still working part time bringing in 24k pretax, no social security, and 100,000 dollar home renovation while also contributing 30,000 dollars to 529 contributions. Their portfolio is going to take the biggest hit here.

Segment Two: Years 4-5:

Lisa fully retired; Mark not yet 70; only Mark's pension as non-portfolio income. Portfolio shoulders the heaviest recurring burden.

Segment three: Years 5-8:

Mark age 70 triggers approximately \$76,000/year in combined Social Security; portfolio draw decreases meaningfully.

Segment four: Years 8+

Required Minimum Distributions begin at Mark's age 73 (Lisa's at age 73 as well, three years later); Traditional IRA distributions become non-discretionary; tax planning shifts from accumulation efficiency to distributions and thinking about passing things down to family.

The overall planning horizon is approximately 30 to 35 years

Rationale- According to the Social Security Administration's 2024 Period Life Table, a 62-year-old female has a remaining life expectancy of approximately 22.4 years (to age 84), but life expectancy is a median, not exact. For a household in good health with no family history of major medical issues, retirement planning should probably target a planning age in the 90s to control for longevity risk. A couple aged 65/62 produces a meaningful probability (roughly 30–40%) that at least one spouse will live past age 95 (Society of Actuaries, *Longevity Illustrator*, 2024). A planning horizon to Lisa's age 95, should balance longevity risk against the inefficiency of over-conservative asset projections.

Sources:

- Social Security Administration. *Period Life Table, 2021* (most recent published).
<https://www.ssa.gov/oact/STATS/table4c6.html>
- Society of Actuaries and American Academy of Actuaries. *Actuaries Longevity Illustrator*. <http://www.longevityillustrator.org>

Part Three - Investment Objectives/Return Calculation

Okay, Part three! This case asks for cash flow as a percentage of assets, and in both pre and post tax numbers, with Inflation as well.

The Taylors general objectives are to generate sufficient after-tax portfolio income to fund \$180,000 in annual lifestyle spending (inflation-adjusted) for an approximately 33-year planning horizon; fund a one-time \$100,000 home renovation within the next 12 months; fund \$30,000 in annual 529 plan contributions for three grandchildren over three years; set up a donor-advised fund to support lifetime charitable giving; and preserve sufficient remaining capital to leave a meaningful financial legacy to two adult children and three grandchildren.

The portfolio must achieve all these objectives, and while I think they can do it, their giving to charity fund might be a little less than they expect.

Effective Investable base-

Joint taxable brokerage: \$1,012,051

Mark Traditional IRA: \$1,196,677

Lisa Traditional IRA: \$545,666

Mark Roth IRA: \$131,684

Lisa Roth IRA: \$82,274

Total: \$2,968,352

However, they want to take out 100,000 for home renovations in year 1 and fund some 529 plans for 3 grandchildren at 30, which is around 90,000 in the next few years, and the present value is probably around 85k. So they have to take out 185,000 from that total, leaving them with around \$2,783,000

Now I need to compute after-tax non-portfolio income by phase.

Using the stated 24% combined marginal bracket as a simplifying after-tax conversion

- Mark's pension: $\$55,000 \times (1 - 0.24) = \$41,800$ after-tax
- Lisa's wages: $\$24,000 \times (1 - 0.24) = \$18,240$ after-tax

- Social Security at Mark age 70: Up to 85% of the \$76,000 combined benefit is taxable at ordinary rates. Effective tax $\approx 0.85 \times 0.24 = 20.4\%$, giving after-tax SS $\approx \$76,000 \times (1 - 0.204) = \$60,500$ after-tax

Compute portfolio cash flow needed by phase (in today's dollars).

Phase	Years	After-Tax Non-Portfolio Income	Annual Spending (today's \$)	Portfolio Need (today's \$)
Phase 1: Lisa working, pre-SS	1–3	$\$41,800 + \$18,240 = \$60,040$	\$180,000	\$119,960
Phase 2: Lisa retired, pre-SS	4–5	\$41,800	\$180,000	\$138,200
Phase 3: SS on, pre-RMD	5–8	$\$41,800 + \$60,500 = \$102,300$	\$180,000	\$77,700
Phase 4: RMD phase (steady state)	8–33	$\$41,800 + \$60,500 = \$102,300$	\$180,000	\$77,700

Since required return changes over the planning horizon, since years 1-5 must support 120,000 to 140,000 in annual draws, while absorbing the renovations and 529 plans. I am going to calculate years in phase 3 and 4 first, since that should be most of the years:

Real after-tax cash flow yield required:

$$\$77,700 \div \$2,783,000 = 2.79\% \text{ real after-tax}$$

Adding a buffer for the elevated Phase 1-2 draws (approximately +0.25%, reflecting that bridge-year withdrawals exceed steady-state need by ~\$50,000/year for 5 years), the required real after-tax return rounds to approximately 3.0%.

Convert to nominal after-tax.

Adding expected inflation of 2.5%:

$$\text{Required Return: After-Tax (Nominal): } \approx 3.0\% + 2.5\% = 5.5\%$$

Convert to pre-tax using an asset-weighted blended tax rate.

Account-weighted tax exposure:

- Roth IRAs (tax-free): $\$213,958 / \$2,968,352 = 7.2\%$ weight $\times 0\% = 0.0\%$
- Traditional IRAs (ordinary income on distribution): $\$1,742,343 / \$2,968,352 = 58.7\%$ weight $\times 24\% = 14.1\%$
- Taxable brokerage (mix of qualified dividends/LTCG at 15% and some interest income at 24%; using 17% blended): 34.1% weight $\times 17\% = 5.8\%$

Blended effective tax rate $\approx 19.9\%$, rounded to 20%

Required Return: Pre-Tax (Nominal): $5.5\% \div (1 - 0.20) = \approx 6.9\%$

Again, the required return does change during these phases. The required return is highest during Phases 1 and 2 (Years 1–5), when the portfolio must support \$120,000–\$140,000 in annual draws while doing 529 and house renovations. After that, The required return declines meaningfully beginning at Mark's age 70, when Social Security adds approximately \$60,500 in after-tax annual income, dropping the recurring portfolio draw to roughly \$77,700 in today's dollars. From that point forward, the portfolio's job shifts from heavy income support to a combination of sustainable distribution and legacy growth. Once RMDs begin at Mark's age 73, the *required* return does not change, but tax rates might, depending on if they reinvest distributions.

The number of 6.9% does corresponds closely to the expected return on Allocations C (6.75%) and D (7.00%) from the risk tolerance questionnaire, both of which the Taylors identified as comfortable. This suggests the plan is fundable without requiring the Taylors to take more risk than they are willing to bear. Which is great.

Part Four- Risk Tolerance

In this part, I will talk about the ability and willingness to take risk- as the assignment states, ability is grounded in tangible facts (portfolio size, time horizon, income stability) and willingness in qualitative behavioral signals.

Ability to Take Risk is High

The Taylors have a strong ability to bear investment risk:

- They have a good chunk of money in their Portfolio. Total investable assets of approximately \$2.97 million against a steady-state portfolio need of approximately

\$77,700 per year (post-Social Security) represents a sustainable withdrawal rate of just 2.6%..

- They are old, but not that old, which means they have a medium to long time horizon. The planning horizon of approximately 33 years allows full participation in long-term equity returns and provides some time to recover from crashes and drawdowns.
- Stable, partially inflation-protected non-portfolio income. The fact that Mark has a pension is amazing. Mark's \$55,000 pension (joint and survivor) plus the projected \$76,000 in combined Social Security provides approximately \$131,000 in baseline pre-tax income, functioning as a cash flow floor that reduces the portfolio's risk. Pension is not inflation-indexed, which is ...fine, because they also have social security kicking in.
- No identified medical or family health concerns
- No debt obligations?

However, the willingness to take risk is only medium, for the following reasons:

- The risk questionnaire score of 65/100 indicates above-average self-reported comfort with risk.
- The Taylors selected allocations c/d (65–75% equity), implying tolerance for moderate equity-weighted volatility.
- The stated maximum acceptable one-year loss of 25% - which seems like a ton of money, but nobody would be thrilled to lose 25%
- However, Lisa explicitly recalls feeling uneasy during 2008 and 2020 drawdowns and prefers steadier, more predictable outcomes. Mark, in contrast, describes himself as "comfortable with a little market noise" and emphasizes long-term growth.
- The current portfolio is conservative, they are in dividend paying stocks and bonds.

For those reasons above, I will state that they only have a Moderate risk level overall.

Part 5, Liquidity Needs:

For this part, I will separate this section into two, I will do short term needs and long term needs.

Short term list:

- Existing cash reserve: \$90,000.
- Home renovation: \$100,000 within the next 12 months.
- 529 plan funding: \$30,000 in Year 1 (and again in Years 2 and 3).
- Bridge-year recurring shortfall: approximately \$120,000 in Year 1 after-tax to cover the gap between \$180,000 in spending and \$60,040 in net non-portfolio income.

Total Year 1 portfolio liquidity demand: approximately \$250,000, against an existing cash reserve of \$90,000, so they need to sell or raise approximately \$160,000 of additional liquidity from the portfolio in the first 12 months

Long term list:

- Recurring annual portfolio draw of approximately \$78,000–\$140,000 (today's dollars), inflated at 2.5% per year, depending on the phase.
- Lisa's full retirement at approximately Year 3 removes \$24,000 in income and increases the portfolio's draw.
- Social Security at Mark's age 70 (Year 5) adds approximately \$76,000 in pre-tax income and reduces the recurring portfolio draw.
- Required Minimum Distributions beginning at Mark's age 73 (Year 8) force taxable distributions from the Traditional IRAs
- Donor advised fund
- legacy/ Will to leave to two adult children